

Unit 8

Individual Behaviour – 1 (Personality and Perception)

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8.1 Introduction

In the previous unit, you have learnt the historical perspective on OB, approaches to and importance of OB. You also learnt the definition, framework for learning OB, the relation between MP and OB. You learnt that OB includes learning individual, group and organizational. In this unit, we will look into two major individual factors, namely, personality and perception. The term 'personality' means different things to different people. Its root, of course, lies in the Latin term 'persona' meaning 'speak through' and denoted the mask worn by actors in Greece and Rome. To the common man, it means external appearances and behaviour, to the psychologists it means the inner awareness of self as a permanent organising force, and to the manager, it denotes the measurable traits, both inner and outer which can predict the performance in an organisation.

Perception is the way we see and interpret things. A supervisor may try to help his subordinates to achieve their target by advising and suggesting solutions. An employee may believe the supervisor is controlling and interfering. To another, the same supervisor would be akin to a father figure giving guidance. Individuals behave in a given manner based not on the way their external environment actually is but, rather on what they see or believe it to be. This is perception.

Both personality and perception affect individual behaviour and in turn the group and organisational behaviour.

In this unit, you will learn the definition and determinants of personality, personality traits and personality attributes affecting OB. You will also learn definition, importance and factors influencing perception, and perception and making judgment about others.

Objectives:

- define personality and its determinants
- analyse personality traits
- identify personality attributes affecting OB
- define perception and list its importance
- identify perceptions that affect making judgment about others
- list the attributes of perception in organisations

Learning Outcomes

After studying this unit, you will be able to:

- define and personality and identify its determinants
- explain personality traits
- differentiate personality attributes affecting OB
- define perception and list its importance.

8.2 Case Study**Sambhavi Bakers Part II**

Sambhavi Bakers expanded as per Reshma's plans while her mother took the chairman's role. As the expansion increased, the usual visits to the outlets became impossible and things were left more to the outlet manager. There was an elaborate set of instructions that had been generated for controlling the operations. The original set of managers and workers detested it as they were always operating in considerable freedom. The consultants had put in place an excellent information system and for some strange reasons the outlets came to be called by the number it had in the management information system report. One evening, Reshma got a phone call from outlet No 23 that there was some problem with the new manager and the assistant manager of the snack meal outlet. The manager had asked why the assistant manager had not stuck to the standard service

format and the assistant manager replied that he knows best what to do and replied sarcastically. The manager took offence and shouted at the assistant manager. Some of the old waiters took the side of the assistant manager and reaffirmed that it is the freedom to operate that makes the place tick and the customers come again and again and not the fat rule book which the manager had on his table. The new ones however, took the side of the manager and said that it is better that everyone followed the operating manual. Reshma thought that the issue would get resolved and did not follow up.

After three months the snack outlet revenue fell to an all time low and recorded a loss. The assistant manager quit with three of the old employees to start his own small venture. When Reshma came to know of it, she decided to travel to the site and have a chat. In her elaborate private discussion with the employees, she was told again that the manager was a good person but was very short tempered and often too bureaucratic preferring to follow the manual rather than the customer need. As she enquired into the issue she realised that the manager seldom spoke with customers and employees. He would listen to suggestions and record everything as per the manual but seldom encouraged them to try it out and innovate. He was very hard working and spent most of the time in the office fine tuning things and when not doing so, watching and supervising.

Some of the employees who were with Sambhavi for long were also critical of the manager who admonished the Assistant Manager, who had a lot of experience, during the peak work time. They said, “Madam, we pamper customers and don’t follow the rule book because this is what you taught us and what we like. The customers are like our brothers and sisters and they even call us the same way, so how can we tell them rules? So, we break rules. We are not used to this shouting and even if one of our work colleagues look at us with a meaning that we have fallen short in service, we feel hurt, cry and rectify things immediately.” Reshma was not a management graduate but intuitively understood the underlying problem.

On returning to her home in Salem, she called her daughter and the consultant and had a chat. She identified the problem pretty clearly and said, “Earlier we used to promote someone to the manager’s position only if he was very friendly to the people, talked a lot, enjoyed the company of the

employees, went for movie with them, took their suggestions and boldly implemented it. But then we had enough time to observe the person before promoting. With the speed of outlet opening, we cannot provide a stream of people whom we have observed for a long time.” The she turned to the consultant, and asked, “Is there a way to find out if a person has these qualities when we are taking a manager directly?”

The consultant began to tell her what personality is, how it can be tested and that while it is not possible to eliminate such incidents, it is possible to control a lot of it.

8.3 Personality – Definition and Determinants

Personality can be defined as a dynamic and organised set of characteristics possessed by a person which uniquely influences his/her knowledge, motivations and behaviour in various situations (Ryckman, 2004). According to Pervin, Cervone & John, (2005), personality refers to those characteristics of the person that account for consistent patterns of feelings, thinking and behaving. In other words, personality is the set of psychological traits and mechanisms within the individual that are organised and relatively enduring and that influence his/her interactions with and adaptations to physical and social environments and his/her own psyche (Larson & Buss, 2005).

Following are the factors that determine personality development:

- **Heredity** – The relationship of heredity with personality is a well accepted fact. Traits like physique, eye colour, hair colour, height, temperament, energy level, intelligence, reflexes, etc. are generally referred to describe the influence of heredity in developing personality. The heredity approach argues that the ultimate explanation of an individual's personality is the structure of the genes. Identical twin and other studies have not confirmed this fully, however genetic influence is fairly well accepted.
- **Environment** – Environment comprises of culture, family, social and situational factors. The environmental factors influence the personality of an individual since they provide the basis for certain experiences that determine an individual's view about life, both positive and negative.

- **Culture** – Culture establishes norms, attitudes and values that are passed on from generation to generation and create consistencies over time. Every culture expects and trains its members to behave in the ways that are acceptable to the group. People from different cultural groups have different attitudes towards independence, aggression, competition, cooperation, artistic talent, etc. While this appears to have a strong influence, studies on this count are not conclusive.
- **Family** – One of the most important determinants of the personality of a person is the immediate family. Families influence the behaviour of a person especially in the early stages of life. The nature of such influence will depend upon the socio-economic level of the family, family size, race, religion, parent's educational level and geographic location. Though it may not be conclusive, the immediate family seems to have a strong impact on the personality.
- **Situation** – Every individual goes through different types of experiences and events in his/her life. Some of the events and experiences, which an individual goes through in his/her life, can serve as important determinants of his/her personality. A trauma suffered by a person during his/her childhood can sometime change the structure of his/her own personality. This too is not conclusive.
- **Social factors** – Socialisation starts with the initial contact between a mother and her new infant. After infancy, other members of the immediate family – father, brothers, sisters and close relatives or friends, then the social group such as peers, school friends and members of the work group play influential roles. This is called socialisation process. There is an increasing recognition given to the role of other relevant persons, groups and especially organisations, which greatly influence an individual's personality.

Self Assessment Questions

1. Personality influences interactions with, and adaptations to _____ and _____ environments and his/her own psyche.
2. Personality is genetically inherited. (True/False)
3. Socialisation starts with the _____ between a mother and her new infant.

4. There is some evidence that immediate family impacts personality.
(True/False)

8.4 Personality Traits

Enamoured by personality, psychologists have been trying to identify its components. Managers have been equally eager to know it. Early research resulted in isolating large numbers of traits, which made it measuring personality impractical. Over a period of time the fine-tuning continued. We will see three models here i.e., Cattell's 16 Personality factor, The Myers-Briggs Type Indicator and the Big Five which are manageable and testable models.

Cattell's 16 Personality Factor Model (16 PF)

Working on earlier models, Cattell reduced the traits to 16 *primary factors*. Each of these has high and low ranges. These 16 are described below. Both the high and low ranges are given against the first one i.e., 'Warmth' to illustrate the point. For others only the high range is given. Cattell had given each a name but we will confine to understanding the meaning of these:

1. **Warmth.** Warm, outgoing, attentive to others, kind, easy going, participating, likes people on the high range as against impersonal, distant, cool, reserved, impersonal, detached, formal or aloof.
2. **Reasoning.** Abstract-thinking, more intelligent, bright, higher general mental capacity, fast learner (Higher Scholastic Mental Capacity).
3. **Emotional stability.** Emotionally stable, adaptive, mature, faces reality, calm (Higher Ego Strength).
4. **Dominance.** Dominant, forceful, assertive, aggressive, competitive, stubborn, bossy.
5. **Liveliness.** Lively, animated, spontaneous, enthusiastic, happy go lucky, cheerful, expressive, impulsive.
6. **Rule-consciousness.** Rule-conscious, dutiful, conscientious, conforming, moralistic, staid, rule bound.
7. **Social boldness.** Socially bold, venturesome, thick skinned, uninhibited.
8. **Sensitivity.** Sensitive, aesthetic, sentimental, tender minded, intuitive, refined.

9. **Vigilance.** Vigilant, suspicious, skeptical, distrustful, oppositional.
10. **Abstractedness.** Abstract, imaginative, absent minded, impractical, absorbed in ideas.
11. **Privateness.** Private, discreet, non-disclosing, shrewd, polished, worldly, astute, diplomatic.
12. **Apprehension.** Apprehensive, self doubting, worried, guilt prone, insecure, worrying, self blaming.
13. **Openness to change.** Open to change, experimental, liberal, analytical, critical, free thinking, flexibility.
14. **Self-reliance.** Self-reliant, solitary, resourceful, individualistic, self sufficient.
15. **Perfectionism.** Perfectionist, organised, compulsive, self-disciplined, socially precise, exacting will power, control, self-sentimental.
16. **Tension.** Tense, high energy, impatient, driven, frustrated, over wrought, time driven.

The Myers-Briggs Type Indicator (MBTI)

The MBTI classifies human beings into four categories of opposite pairs (*dichotomies*). These are:

1. Extroverted or introverted (E or I). E is the opposite of I, etc.
2. Sensing or intuitive (S or N). Since 'I' was used for introverted, he used N.
3. Thinking or feeling (T or F).
4. Perceiving or judging (P or J).

Based on these, 16 combinations arise as depicted in table 8.1:

Table 8.1: Combinations Based on MBTI Classifications

S. No	Code				
1	ISTJ	Introverted	Sensing	Thinking	Judging
2	ISFJ	Introverted	Sensing	Feeling	Judging
3	INFJ	Introverted	Intuitive	Feeling	Judging
4	INTJ	Introverted	Intuitive	Thinking	Judging
5	ISTP	Introverted	Sensing	Thinking	Perceiving
6	ISFP	Introverted	Sensing	Feeling	Perceiving

7	INFP	Introverted	Intuitive	Feeling	Perceiving
8	INTP	Introverted	Intuitive	Thinking	Perceiving
9	ESTP	Extroverted	Sensing	Thinking	Perceiving
10	ESFP	Extroverted	Sensing	Feeling	Perceiving
11	ENFP	Extroverted	Intuitive	Feeling	Perceiving
12	ENTP	Extroverted	Intuitive	Thinking	Perceiving
13	ESTJ	Extroverted	Sensing	Thinking	Judging
14	ESFJ	Extroverted	Sensing	Feeling	Judging
15	ENFJ	Extroverted	Intuitive	Feeling	Judging
16	ENTJ	Extroverted	Intuitive	Thinking	Judging

Adapted from: <http://www.capt.org/mbti-assessment/type-descriptions.htm>

Big 5 Personality Test

This test, based on a very elaborate work, is very popular and identifies five dimensions of personality as depicted in table 8.2. These lie along a continuum i.e., high openness v/s low openness.

Table 8.2: Dimensions of Personality

Factor	Meaning	Indicators	Workplace implications
Openness	Inventive/curious vs. consistent/cautious	Appreciation for art, emotion, adventure, unusual ideas, curiosity and variety of experience.	People high on this are amenable to accepting other's ideas, being innovative and amenable to change. They are excellent for creative work. This is a very powerful and essential managerial trait.
Conscientiousness	efficient/organised vs. easy-going/careless	A tendency to show self-discipline, act dutifully, and aim for achievement, planned rather than spontaneous behaviour.	Once again this is execution focused and a very important quality of a manager. Those with high C, tend to perform much better not only in managerial work but also in studies, other than managerial work, etc. Their self discipline makes them excellent in execution.

Extraversion	outgoing/energetic vs. shy/reserved	Energy, positive emotions, urgency and the tendency to seek stimulation in the company of others.	While this is very important for jobs such as sales, front office, etc., it may not be important where deep analysis, precision bank end work, etc. are required.
Agreeable- ness	friendly/compassio nate vs. cold/unkind	A tendency to be compassiona te and cooperating rather than suspicious and antagonistic towards others.	They tend to be highly people oriented managers, though excessive score in these can make them so people oriented that they forget the task in hand.
Neuroticism	sensitive/nervous vs. secure/confident	A tendency to experience unpleasant emotions easily, such as anger, anxiety, depression or vulnerability. Since the word neuroticism is not popular in organisational circles we call it Emotional Stability.	This is a very important managerial quality as keeping one's composure in adversity and stress is very essential. Being secure and confident is perhaps a very important quality in projects, sensitive and dangerous jobs, like oil rigs, etc.

These are abbreviated as OCEAN. There are several tests to test the Big 5—some with 100 questions and a smaller version with 50. Knowing these traits enable us, not only in selection of the right candidate, but also employing the person appropriately in a job.

Impact of Big 5 on workplace

Big 5 is used frequently in the workplace because of its direct impact. You can easily see that the manager at Sambhavi was perhaps of high conscientiousness. But he was perhaps a little too introverted and not open minded. He may not have been high on agreeableness and not too high on emotional stability. So though he had an ace quality, he found it difficult to perform in this job. Had he been involved as an accounting manager or stores manager, perhaps he would have done well. Now you can see the impact of personality on workplace.

Self Assessment Questions

5. 16 PF, MBTI and _____ are the most popular personality tests.
6. 16 PF has four dimensions namely extroverted or introverted, sensing or intuitive, thinking or feeling and perceiving or judging. (True/False)
7. Those with high score in Agreeableness factor of Big 5 always become excellent managers. (True/False)
8. If you were selecting someone as team leader of a quality circle, he should have a high _____ as per the Big 5 test.

8.5 Personality Attributes Influencing OB

There are several attributes of OB that influence the workplace. Let us see some of them.

Locus of control

This is the belief that things are controlled by the person himself or by some external agencies or forces. Those with internal locus of control believe that outcomes of events are due to their own control. So they emerge as confident hard workers. Those with external locus of control believe that things happen due to some forces outside and hence tend to lack confidence. Externals are less satisfied with their jobs, have higher absenteeism rates, are more alienated from the work setting and are less involved in their jobs. Internals are more suited to jobs that require initiative and independence of action and want autonomy and independence in their jobs and externals in jobs that required compliance and enjoy directions and controls.

Machiavellianism

Machiavellianism is the term that some social and personality psychologists use to describe a person's tendency to deceive and manipulate others for personal gain. They are pragmatic, maintain emotional distance and believe that ends can justify means. They manipulate more, win more at least in the short run, are persuaded less and persuade others more. There is a school of thought that they win more in negotiations, but often this may not create the trust and it becomes a liability. In modern workplace high machiavellianism is very counterproductive.

Self-Esteem (SE)

Self-esteem is defined as the degree to which people like or dislike themselves (Robbins, 2003). Individuals with high self-esteem tend to take more risks in job selection and are more likely to choose unconventional jobs in contrast to people with low self-esteem. Low SEs are more susceptible to external influence than are high SEs. Low SEs are dependent on the receipt of positive evaluations from others. In managerial positions, therefore, low SEs will tend to be concerned with pleasing others.

Self-monitoring

Self-monitoring refers to an individual's ability to adjust his/her behaviour to external, situational factors. Individuals high in self-monitoring show considerable adaptability, are highly sensitive to external cues and are capable of behaving differently in different situations and presenting striking contradictions between their public persona and their private self. High self-monitors tend to pay closer attention to the behaviour of others and tend to be more mobile in their careers and receive more promotions. High self-monitor is capable of putting on different "faces" for different audiences.

Type A and Type B

Type A and Type B personality theory was first published in the 1950s by Meyer Freidman and Rosenman. Type A personalities are often described as aggressive, ambitious, controlling, business-like, highly competitive, time-conscious, impatient, preoccupied with status, workaholic, hostile, tightly-wound. They try to do multitasking and this is more so facilitated by IT. The opposite spectrum is called Type B.

Holland Hexagon

Holland proposes that if an individual's personality and the work environment "fit", i.e., if the personality coincides with the work environment, then the individual will most likely enjoy the work and develop and grow in the career. Hence there is a need to do this matching when hiring. Holland has proposed six themes of people and work environments, within which all jobs can be classified. This is depicted in table 8.3. It is called a hexagon because of the six components.

Table 8.3: Holland's Themes

Type	Personality Characteristics	Congruent Occupation
Realistic: Prefers physical activities that require skill, strength and coordination	Shy, genuine, persistent, stable, conforming, practical	Mechanic, drill press operator, assembly-line worker, farmer
Investigative: Prefers activities that involve thinking, organising and understanding	Analytical, original, curious, independent	Biologist, economist, mathematician, news reporter
Social: Prefers activities that involve helping and developing others	Sociable, friendly, cooperative, understanding	Social workers, teacher, counsellor, clinical psychologist
Conventional: Prefers rule-regulated, orderly and unambiguous activities	Conforming, efficient, practical, unimaginative, inflexible	Accountant, corporate manager, bank teller, file clerk
Enterprising: Prefers verbal activities in which there are opportunities to influence others and attain power	Self-confident, ambitious, energetic, domineering	Lawyer, real estate agent, public relations specialist, small business manager
Artistic: Prefers ambiguous and unsystematic activities that allow creative expression	Imaginative, disorderly, idealistic, emotional, impractical	Painter, musician, writer, interior decorator

Self Assessment Questions

9. Those with high internal locus of control always look for orders from their bosses. (True/False)
10. Those high on Machiavellianism are always excellent negotiators with people. (True/False)

11. Self-esteem is defined as the degree to which people _____ or _____ themselves.
12. Type B personalities are cool and reflective. (True/False)
13. Holland Hexagon is a method used to match the _____ and _____.

8.6 Definition, Importance and Factors Influencing Perception

Definition

As per Robbins, a noted thinker on OB, "Perception is the process by which individuals organise and interpret their sensory impressions in order to give meaning to their environment." Environment consists of other people and situations connected to the perceiver for some reasons. Thus for example, the manager of Sambhavi (Perceiver) may perceive that the assistant manager (called target) is always violating the manual to please customers while the assistant manager perceives that the work setting (situation) demands his doing so and you know how this resulted in a conflict.

Importance of perception

Perception is perhaps the most important aspect of OB that we use in our daily life and in management. The importance of perception is:

- While creating vision for an organisation, our perception of the future and the way things should be is a deciding factor.
- While making strategy, our perception of the opportunities and threats make us see the same situation differently.
- Perception gives the impetus to seek more information to make more rational decisions e.g., the perception of Rakhi on the situation of the bakery in trouble, made her travel and talk to the employees to gain more information. If she had perceived what the manager did was right or that it is too small a thing to intervene, she would not have made the effort to find out more information.
- Perception affects the planning because the goals set depend on our perception of the world and the employees and their ability to achieve them.
- The way we organise, i.e., flat versus hierarchical, depends on our perception of the competence of the employees and business needs.

You will find the same industry having different organisational set up because of this.

- The way we select staff is often fully based on perception and once we select, the way we manage their performance, reward and promote them and treat them are also heavily dependent on perception.
- Business leaders make an effort to change the perception of the employees to bring about change.
- The controls that we put in place are based on our perception of the competence and sincerity of the employees.
- Reasons for most workplace stress and conflict are differing perception and biases in perception.

Hence knowing about perception is very important.

Factors affecting perception

Factors that affect perception are:

- Perceiver related factors
- Target related factors
- Situation related factors

Figure 8.1 depicts the factors affecting perception.

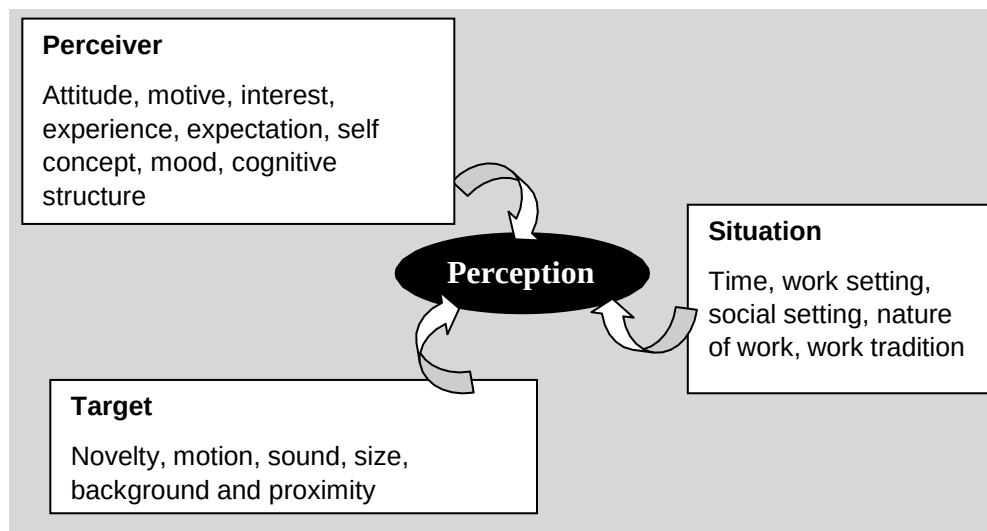


Fig. 8.1: Factors Affecting Perception

Perceiver related factors

People's attitude, motives, interests, experiences and expectations affect perception.

- **Attitude and motives.** Attitudes are evaluative statements (whether spoken in words or otherwise) about objects, people and events. The manager in our case was making statements about the need to adhere to procedures while the assistant manager about the need to please customers. Motives are strong drives that we have for taking an action. The motive of the manager could be to assert his position and could be drawn from his ego needs. The reply of the assistant manager could be for defending his actions and later quitting perhaps due to his drive to satisfy his ego. As a result they perceive the same service manual differently. We will discuss more on attitudes and motives in the next units.
- **Interests.** Interest is a natural inclination to talk, participate or perform a task. So, when you are interested in pleasing customers you see things differently and when you are interested in adhering to discipline (both are, of course, required), you perceive things differently.
- **Experiences.** Experiences hard wire our brains. It is possible that the assistant manager would have had good experience from the customer reaction when he serves in a way that is different from the manual and it is equally possible that the manager would have been from an organisation where systems and discipline are strict.
- **Expectations.** The assistant manager expects the customers to be pleased when he serves them in a particular way and therefore he expects the manager to accept this mode, while the manager expects the assistant manager to follow the manual and therefore perceives the same situation differently.
- **Self-concept.** Another factor that can affect social perception is the perceivers' self-concept. An individual with a positive self-concept tends to notice positive attributes in another person.
- **Moods.** Moods can have a strong influence on the way we perceive someone. We think differently when we are happy than we do when we are depressed and perhaps the comment of the assistant manager could have been due to moods.

- **Cognitive structure.** Cognitive structure, an individual's pattern of thinking, also affects perception. Some people have a tendency to perceive physical traits, such as height, weight and appearance more readily. Others tend to focus more on central traits or personality dispositions. Those with high cognitive complexity are able to perceive multiple characteristics of another person rather than just a few and are therefore better decision makers.

Target related factors. These are novelty, motion, sound, size, background and proximity. We see how these are used in business especially advertisements. Rakhi used to bake a cake for birthday of every one of her employees. This is novelty because employers don't do it. Had the manager talked to this assistant manager softly but firmly in his room the sound, background and proximity would have been more appropriate for the advice rather than on the shop floor. If he had used the right body language and done some small talk as a background, the advice would most probably have been received better. This is how the target related factors affect perception.

Situation related. Time, work setting, work tradition, nature of work and social setting are important factors in a work situation that affect perception. The manager admonished his assistant manager with long experience during the peak work time, it was done against a work setting that focus on total customer satisfaction if not literal pampering of the customers, which was Sambhavi's tradition, the nature of work too was service and the attraction was kid care and merchandise, which makes the service very different from a standard eatery or even a good restaurant. Hence the work setting too was very different. The workplace socialisation and proximity of the customers to the serving staff was very intimate and therefore any admonishing in front of the customers could seriously affect the employee in Sambhavi unlike other places. This explains, at least partially, why this conflict could have taken place.

Self Assessment Questions

14. Perception is the process by which individuals organise and interpret their _____ in order to give meaning to their environment.

15. Perception is affected by perceiver related, _____ related and situation related factors.
16. Those with high _____ are able to perceive multiple characteristics of another person rather than just a few and are therefore better decision makers.

8.7 Perception and Making Judgment about Others

We look at someone's action, such as coming late to office, and say that he/she could not have helped it or he/she is to be blamed. So, we attribute an external or internal reason for this action. Kelly has theorised this to suggest that there are three determining factors for attributing this:

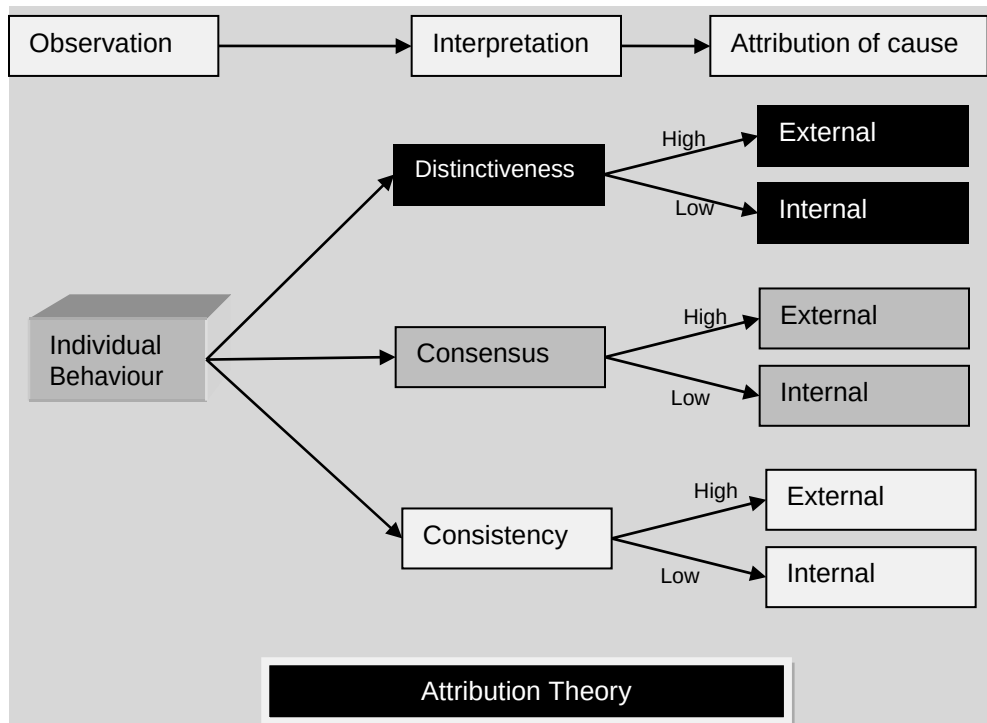


Fig. 8.2: Attribution Theory

Figure 8.2 depicts the attribution theory.

- **Distinctiveness.** Distinctiveness refers to whether an individual displays different behaviours in different situations. The manager at Sambhavi always talks kindly and has done so today too (low distinctiveness) or he always talks kindly but has been rude today (high distinctiveness). If the attribution is the latter, then the assistant manager would not have reacted but here perhaps the attribution was of low distinctiveness and therefore the assistant manager reacted sharply.
- **Consensus.** Consensus occurs if everyone, who is faced with a similar situation, responds in the same way. Any manager would have rebuked the assistant manager for not following the rule book (high consensus) versus, in Sambhavi where a manager would not have rebuked his assistant manager for not following the book to please the customers (low consensus). The assistant manager, of course, attributed low consensus to the rebuke.
- **Consistency.** Consistency refers to the pattern that is reflected regularly in a person's actions. This manager always rebukes when we deviate from the book to please customers (high consistency) versus, this is the first time he has done it (low consistency). Here too the assistant manager would have attributed high consistency to the rebuking.

In this case, the assistant manager attributed low distinctiveness in something negative (rebuking habit), low consensus in the reason for rebuking, and high consistency in something negative i.e., rebuking and hence the cumulative effect was a serious decision.

Perceptual biases

Let us now discuss some of the common perceptual biases.

Fundamental attribution error

This is the tendency to underestimate the influence of external factors and overestimate the internal ones e.g., the assistant manager may not attribute that the manager's action is because of the strict instructions from the head office and his own earlier grooming in another context and attribute that this person is not customer friendly and does not know the Sambhavi culture.

Self serving bias

Tendency of people to attribute success to internal factors and failure to external factors e.g., the manager may attribute that the outlet's success is

due to his strict following of the rule book (until he found out otherwise when the revenue fell after the departure of the assistant manager) and failure to external factors e.g., he may feel that the revenue fell because the old time employees had ganged up against him.

Selective perception

When we see a person, object or event some things stand out. You may judge a film based only on the hero or the music rather than the whole movie. When you evaluate a plan, you might miss out some data.

Halo effect

Previous success creates a halo and we feel that he will be successful again e.g., halo of Sachin Tendulkar and our feeling that every time he goes to the ground, he should hit a century and if he does not, we further attribute it to some outside factors than his inability to do so. This happens in work place also. Sambhavi's employers told Rakhi that she had taught them to serve customer in a particular way and since she was an adorable person in many other ways, she cannot be wrong in this. This is a halo effect.

Contrast effects

Individuals do not evaluate a person in isolation. In the Sambhavi case, employees commented on the manager because his actions were perhaps in contrast to others or in contrast to the values in the organisation as imbibed by them. Either way there was a contrast.

Projection

Our tendency to feel and see that others are like us and taking decisions on the premise that others want what we want, is called projection. Thus the manager in Sambhavi may think that all the other managers and assistant managers are like him and therefore, his idea of service based on the rule book, is what others also believe in, is what we call projection.

Stereotyping

Stereotyping is judging someone on the basis of our perception of the group to which he or she belongs. It is a means of simplifying a complex world and it permits us to maintain consistency. The problem, of course, is when we inaccurately stereotype and often we believe that 'she is a woman and therefore, she should act this way' based on gender stereotyping or 'he is an

old man' and therefore will not understand computers can be based on age based stereotyping.

First-impression (Primacy) effect

This means the tendency to form lasting opinions about an individual based on initial perceptions and needs no elaboration. It is found through several mind tracking studies that when you go for an interview, the interviewers make up their mind in the first six seconds and the time after that is usually spent in justifying the initial decision.

Recency effect

When you go for a movie, the end is often remembered and you judge the movie based on it. Similarly you notice the end of a series of actions taken by a person and decide on the effectiveness of the action. Thus we judge the efficacy of a salesman based on the end of the month figures rather than what he did or did not do during the month.

Self-fulfilling prophecy

It is a tendency for someone's expectations about another to cause that person to behave in a manner consistent with those expectations (Wilkins, 1976). Self fulfilling prophecy can be of two types:

- **Pygmalion effect:** Manager has high expectations of his employee and therefore grades him as the topper although the facts indicate otherwise. This is a positive instance of the self-fulfilling prophecy and called Pygmalion effect.
- **Golem effect:** The same manager evaluates his top performer as third, because his expectation from him is not high although the facts indicate otherwise. This is a negative instance of the self-fulfilling prophecy and called Golem effect.

Application of perception in organisations

Most of the decisions made in our life including work life are based on perception. Managers take decisions several times a day and therefore, perception is applied several times a day. Some of the examples are given below:

- Mr A is a university topper but is not able to convey his views clearly. Halo effect may still see him through an interview.

- A manager is a hard worker and works long hours. Mr A is also like him; but Ms B, does not work late hours, but her output is the best in empirical terms. Manager ranks Mr A higher to Ms B because of projection.
- Mr A belongs to a strong and troublesome union but is a hard worker and disciplined but manager considers him a trouble maker because of stereotyping.
- Mr A comes late usually and has come late today also but because he had an emergency at home. The manager does not consider this because of low distinctiveness (attribution theory).
- On checking reference, it was found that Mr A is good team player. Though people in his team do not like him the manager grades him high because he expects him to be so. This happens due to Pygmalion effect.

The examples can go on. The way to avoid making decision errors is by taking rational and scientific decisions as we saw in the unit on 'planning and decision making'.

Activity

Read the case given in Section 8.2 and explain the behaviour of the Assistant Manager using Big 5 personality factors.

Hints: Refer Section 8.4

Self Assessment Questions

17. In attribution theory, _____ means whether an individual displays different behaviours in different situations.
18. _____ is the tendency to underestimate the influence of external factors and overestimate the internal ones.
19. Our tendency to feel and see that others are like us is called _____.
20. After the interview, the chairman concluded, "She is very good and well qualified. I wish we get a man like her because being a woman she may not work late hours". This is a statement because of _____ based stereotyping.

8.8 Summary

Let us recapitulate the important concepts discussed in this unit:

- Personality can be defined as a dynamic and organised set of characteristics possessed by a person, which uniquely influences his/her knowledge, motivations and behaviour in various situations.
- Factors determining personality development are heredity, environment, culture, family, situation and social factors.
- Catell's 16 Personality factor, The Myers-Briggs Type Indicator and the Big Five are some of the manageable and testable models of personality.
- Personality attributes influencing OB are locus of control, Machiavellianism, self esteem, self-monitoring.
- Perception is the process by which individuals organise and interpret their sensory impressions in order to give meaning to their environment.
- Factors affecting perception are perceiver related factors, target related factors, and situation related factors.
- Common perceptual biases are halo effect, contrast effect, attribution error, self serving bias, projection, stereotyping, primacy effect, recency effect and self –fulfilling prophecy.

8.9 Glossary

- **Attribution theory:** Suggests that we attribute causes to behaviour based on observations of certain.
- **Halo effect:** Transfer of goodwill or positive feelings about one characteristic (such as pleasing appearance) of a product or person to another, possibly unrelated characteristic (such as performance).
- **Holland Hexagon:** A way of tracing an individual's personality and the work environment "fit".
- **Locus of control:** This is the belief that things are controlled by the person himself or by some external agencies or forces. Internal locus on control means that things can be controlled by the person himself and external locus of control means that things are controlled by outside forces.

- **Pygmalion effect:** People tend to live up to what's expected of them and they tend to do better when treated as if they are capable of success. These are the lessons of the Pygmalion effect.

8.10 Terminal Questions

1. Define personality.
2. What are the factors determining personality ?
3. Explain MBTI.
4. Define perception and highlight some of its importance.
5. What are perceiver related factors that affect perception? Give examples.
6. In Israel, a famous experiment was conducted in the military. The class was divided into two sections on random basis. The instructor of Class A was told that his students were selected for their intelligence and military acumen but nothing was told to the instructor of Section B. At the end the evaluation of students of both sections were compared. Scores of Section A students were far higher than that of Section B. Can you explain the reason for it?

8.11 Answers

Self Assessment Questions

1. Physical, social
2. False
3. initial contact
4. True
5. Big 5
6. False
7. False
8. Openness
9. False
10. True
11. Like, dislike
12. True
13. Personality, job
14. sensory impressions

15. Target
16. Cognitive complexity
17. Distinctiveness
18. Fundamental attribution error
19. Projection
20. Gender

Terminal Questions

1. Personality is the dynamic and organized set of characteristics possessed by a person. Refer Section 8.3 for more details.
2. The factors determining personality are heredity, environment, culture, family situation and social factors. Refer Section 8.3 for more details.
3. MBTI is a testable personality trait model that classifies human beings based on four categories of opposite pairs. Refer Section 8.4 for more details.
4. Perception is the process of interpreting sensory impressions to give meaning to environment. Refer Section 8.6 for more details. Refer Section 8.4
5. Some of the perceiver related factors are attitudes, motives, interests, experiences, moods, self-concept etc. Refer Section 8.6 for more details.
6. Scores of Section A students were higher due to Pygmalion effect. Refer Section 8.7 for more details.

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